

SPIVA® Latin America Scorecard

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Experience the
active vs. passive debate
on a global scale.

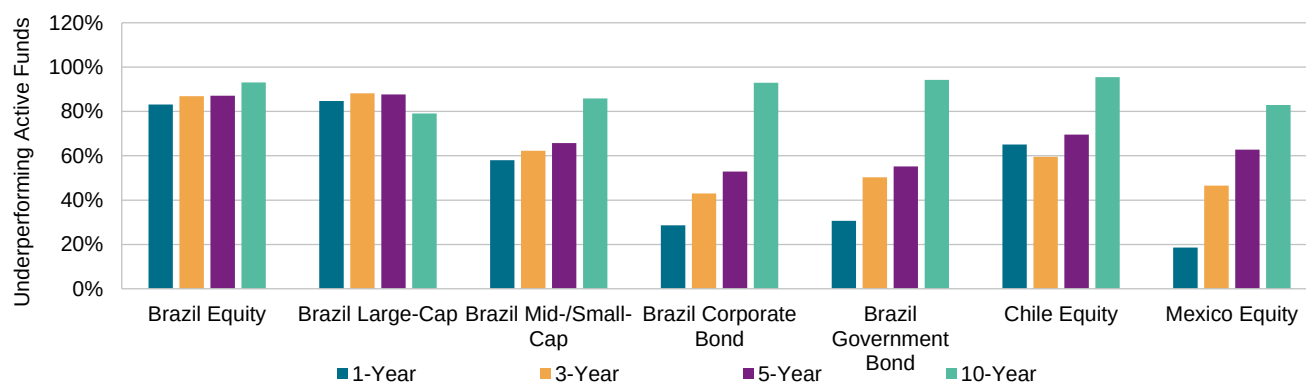
Summary

The SPIVA Latin America Scorecard measures the performance of actively managed funds across Brazil, Chile and Mexico against their respective benchmarks over various time horizons, providing statistics on underperformance rates, survivorship rates and fund performance dispersion.

Year-End Highlights

As most Latin American benchmarks declined over the course of 2024, underperformance rates among active managers significantly varied by country and asset class. Managers of equity funds in Mexico and bond funds in Brazil fared better than most, with less than one-half of funds underperforming their benchmarks. In all other categories, the majority of active funds underperformed in 2024. All categories underperformed over a 10-year horizon (see Exhibit 1).

Exhibit 1: Percent of Underperforming Latin America Funds



Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Outperformance is based on equal-weighted fund counts. Index performance based on total return in local country currency. Past performance is no guarantee of future results. Chart is provided for illustrative purposes.

Mexico

- The [S&P/BMV IRT](#) fell 10.7% during calendar year 2024. Fewer than one in five active Mexico Equity fund managers (18.6%) underperformed for the one-year horizon. Over longer periods, outperformance remained challenging, with 46.5%, 62.8% and 82.9% of managers underperforming the benchmark over 3-, 5- and 10-year periods, respectively (see Report 1a).
- The median active fund return surpassed the benchmark by 2.2% in 2024, better than in longer periods; median funds outperformed by 0.6% over the 3-year period and underperformed by 1.2% and 2.3% for the 5- and 10-year periods, respectively (see Reports 3 and 5). Over the 10-year period, the threshold for top-quartile managers lagged the benchmark by 0.2%.
- The survival rates of active funds in Mexico remained the highest in Latin America, at 100.0%, 100.0%, 95.3% and 78.0% over the 1-, 3-, 5- and 10-year periods, respectively (see Report 2); this marked the eighth scorecard in a row that Mexico Equity funds had the highest three- and five-year period survivorship rates among Latin America categories.
- Funds with greater assets performed slightly better than smaller funds in 2024. Average returns for Mexico Equity funds were 4.3% higher on an asset-weighted basis than on an equal-weighted basis (see Reports 3 and 4).

Brazil

- Brazil's equity market ended 2024 in negative territory, with the [S&P Brazil BMI](#) declining 8.0% (see Report 3). Large caps, as measured by the S&P Brazil LargeCap, fell 4.8%, significantly outperforming mid- and small-cap companies, as measured by the S&P Brazil MidSmallCap, which finished the year down 15.4%.
- In 2024, 58.0% of active Brazil Mid-/Small-Cap funds underperformed their benchmark, while a larger majority of active equity funds underperformed their benchmarks in other categories, with underperformance rates of 84.7% among Brazil Large-Cap funds and 83.1% for Brazil Equity funds. Active managers within all categories, with the exception of Brazil Large-Cap funds, fared even worse relative to their respective benchmarks over the longer 10-year period ending in 2024, with underperformance rates of 93.1%, 79.1% and 85.9% in the Brazil Equity, Brazil Large-Cap and Brazil Mid-/Small-Cap fund categories, respectively (see Report 1a).

Chile

- Chile's equity market was the only one in the scorecard to post positive benchmark performance for 2024, with the S&P Chile BMI rising 7.9% for the year (see Report 3).
- A majority of active Chile Equity fund managers (65.1%) underperformed the [S&P Chile BMI](#) over the one-year horizon, and the underperformance rate increased over longer time periods, with 59.5%, 69.6% and 95.5% of active funds underperforming the benchmark over the 3-, 5- and 10-year periods, respectively (see Report 1a). Median funds underperformed the benchmark by 1.0% in 2024 and trailed by 2.0% over the longer 10-year period (see Report 5).
- Over the one-year period, the relationship between fund size and returns was limited, with active Chile Equity funds rising 7.5% and 7.2% on equal-weighted and asset-weighted bases, respectively. Over the 10-year period ending in 2024, however, asset-weighted returns for Chile Equity funds averaged 5.7%, while equal-weighted returns averaged 5.0%, indicating that funds with higher assets generated slightly higher performance than their smaller peers (see Reports 3 and 4).
- Over the 10-year period, the threshold for top-quartile active fund managers trailed the benchmark by 1.0% (see Reports 3 and 5).

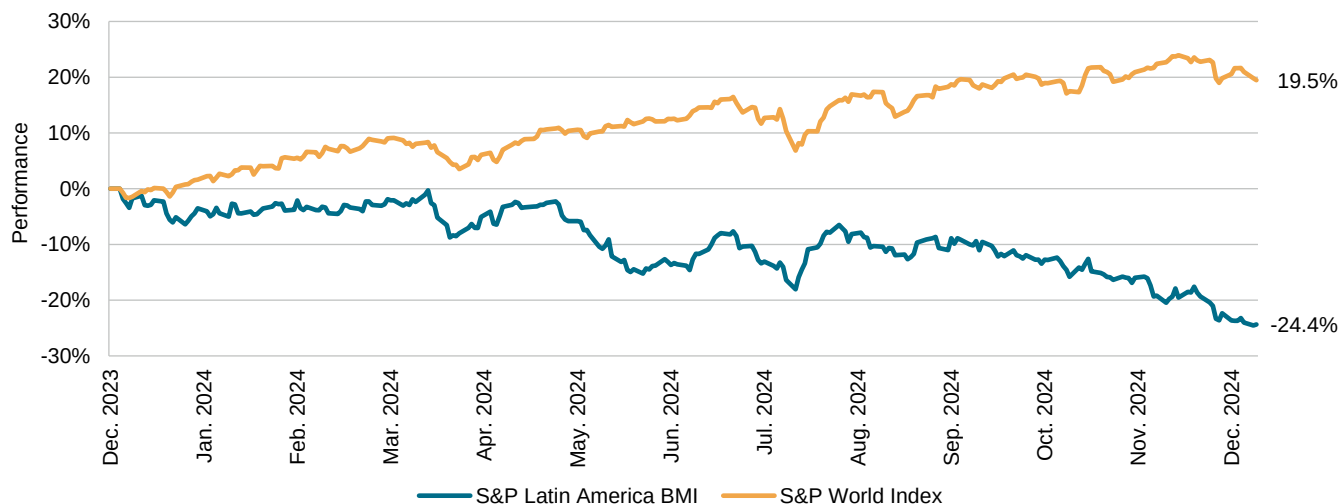
Fixed Income

- Fixed income funds fared relatively well in 2024, with one-year underperformance rates for Brazil Corporate Bond funds and Brazil Government Bond funds at 28.7% and 30.7%, respectively. However, underperformance increased significantly over time. Over the 10-year period, underperformance rates exceeded 90% in both categories.

Market Context

In a year when global equities were generally on the rise, much of Latin America languished, with the [S&P Latin America BMI](#) falling 24.5% for the year and trailing the [S&P World Index](#) benchmark by 43.8% in U.S. dollar terms (see Exhibit 2).

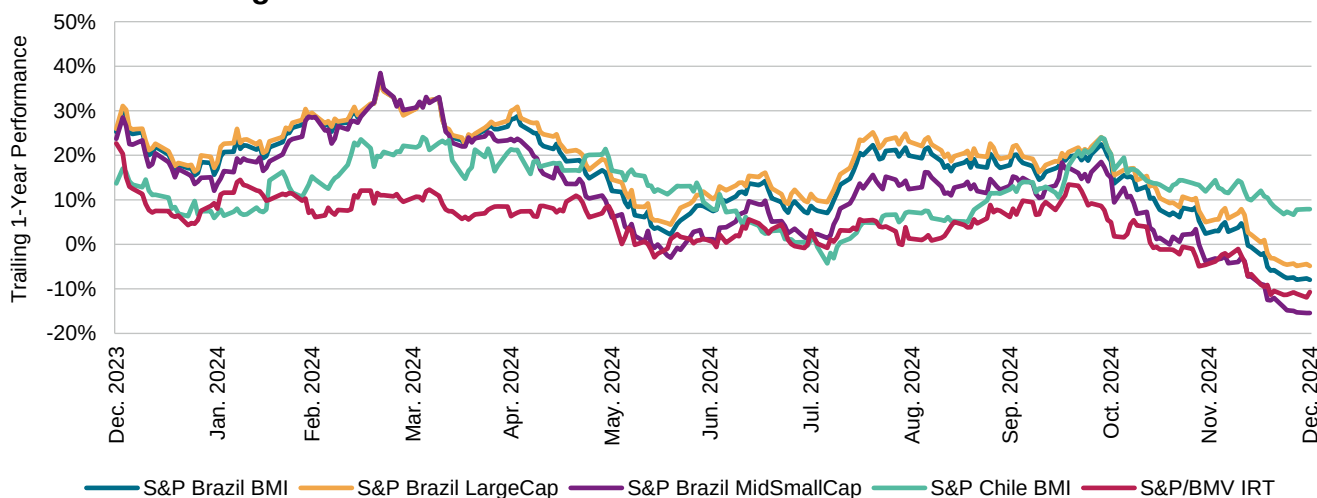
Exhibit 2: S&P Latin America BMI and S&P World Index Cumulative Performance



Source: S&P Dow Jones Indices LLC. Data as of Dec.31, 2024. Index performance based on total return in U.S. dollars. Past performance is no guarantee of future results. Chart is provided for illustrative purposes.

Performance decelerated across most individual Latin American equity markets in 2024. With the sole exception of Chile, all other major equity benchmarks observed in this scorecard delivered negative performance for the year (see Exhibit 3 and Report 3).

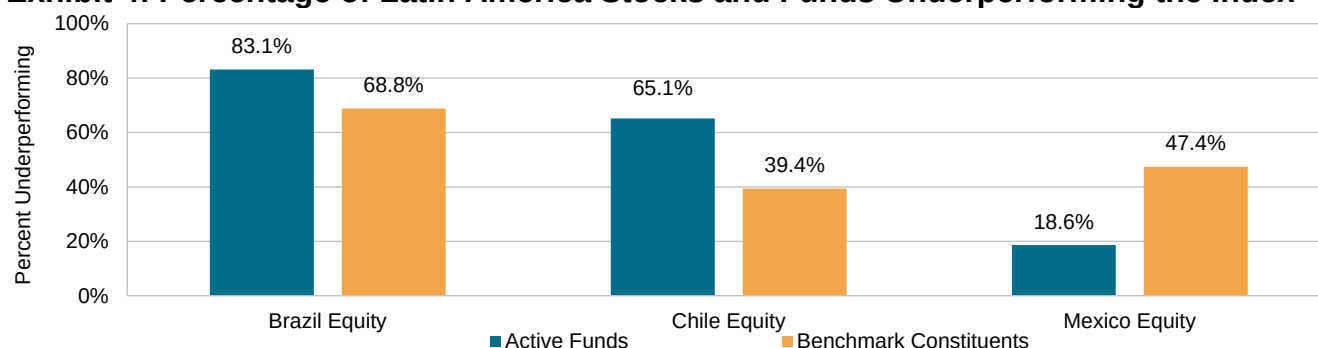
Exhibit 3: Trailing One-Year Benchmark Performance



Source: S&P Dow Jones Indices LLC. Data as of Dec.31, 2024. Index performance based on total return in local country currency. Past performance is no guarantee of future results. Chart is provided for illustrative purposes.

In 2024, the relationship between the proportion of stocks underperforming each benchmark (also referred to as skew) and the proportion of active funds underperforming in those markets was not consistent. On one hand, domestic equity fund managers in Brazil and Chile showed slightly worse results than probability would suggest. In Brazil, for example, 68.8% of constituents within the S&P Brazil BMI underperformed the index, yet an even greater proportion of managers (83.1%) failed to beat the benchmark, meaning their aggregate stock selections were worse than random (see Exhibit 4). Similarly, in Chile, less than half of stocks (39.4%) trailed the S&P Chile BMI, but nearly two-thirds (65.1%) of managers underperformed. On the other hand, Mexico was an outlier in 2024. Despite 47.4% of stocks underperforming the S&P/BMV IRT, less than one-fifth (18.6%) of Mexico Equity fund managers underperformed, an all-time low in the more than 10-year history of the category.

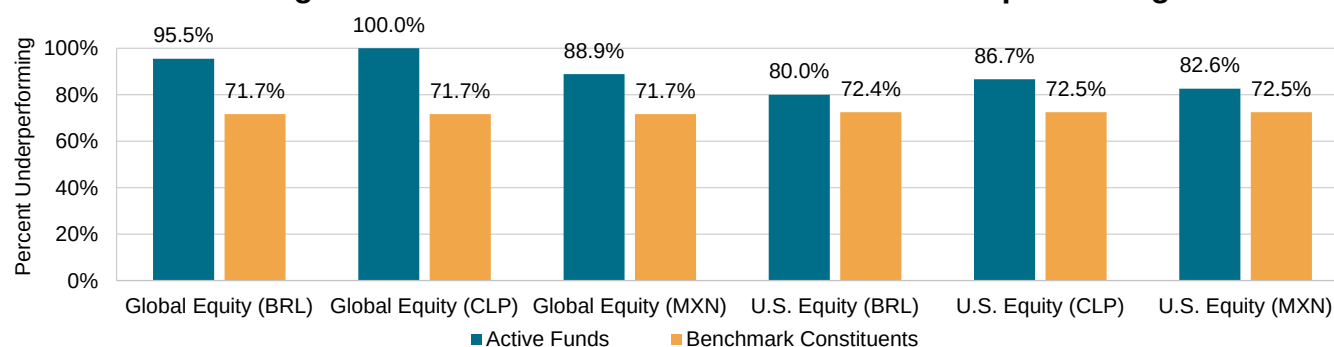
Exhibit 4: Percentage of Latin America Stocks and Funds Underperforming the Index



Source: S&P Dow Jones Indices LLC, FactSet. Data as of Dec.31, 2024. Index performance based on total return in local country currency. Past performance is no guarantee of future results. Chart is provided for illustrative purposes.

Managers of funds focused on equities outside of the region did not fare as well. Among Latin America-domiciled funds focused on either Global Equity or U.S. Equity, the proportion of active managers underperforming was consistently higher than the proportion of stocks trailing the benchmark, as shown in Exhibit 5.

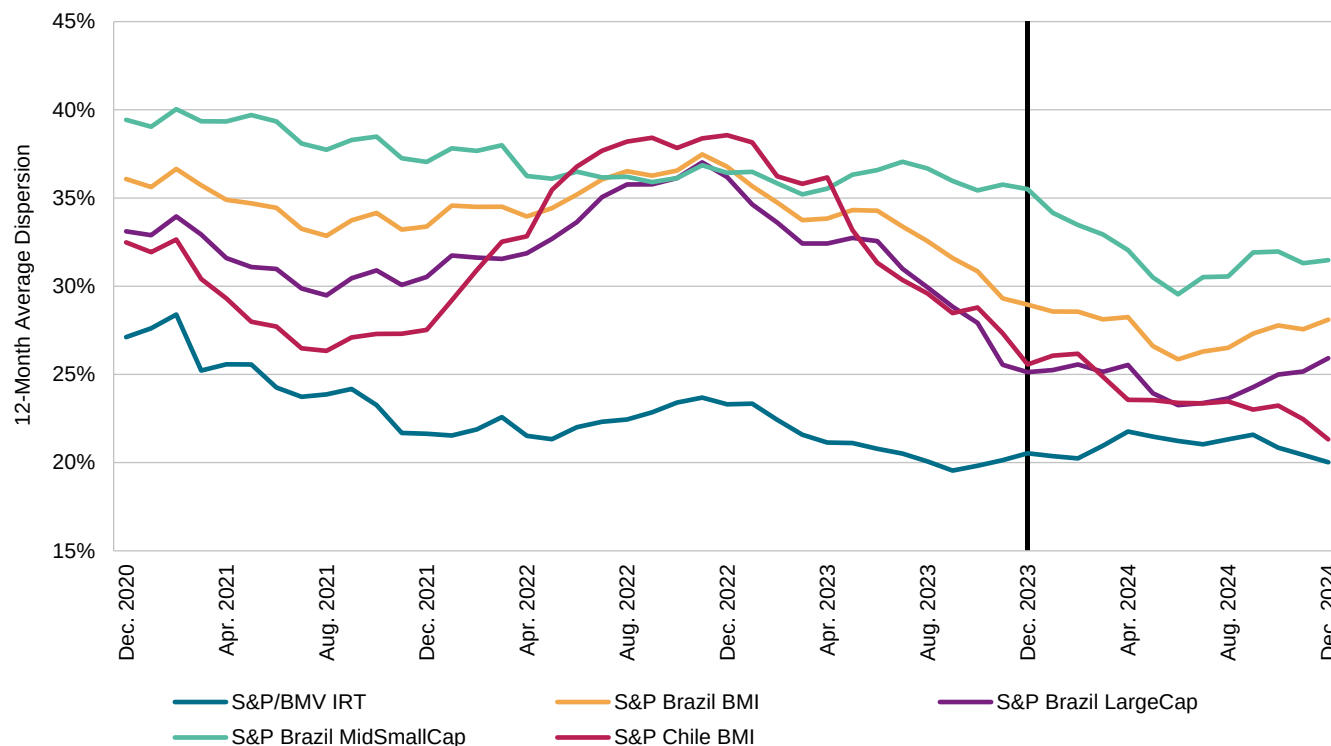
Exhibit 5: Percentage of Global and U.S. Stocks and Funds Underperforming the Index



Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Chart is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Falling dispersion may have added to the challenges active managers faced in 2024. Across major Latin American equity markets, stock-level dispersion levels declined over the course of the year and ended well beneath their five-year averages, as shown in Exhibit 6. Higher levels of dispersion, a measure of cross-sectional volatility expressing differences between stock returns within each index, have typically been associated not only with greater rewards from picking outperforming stocks but also with greater penalties from selecting underperformers.

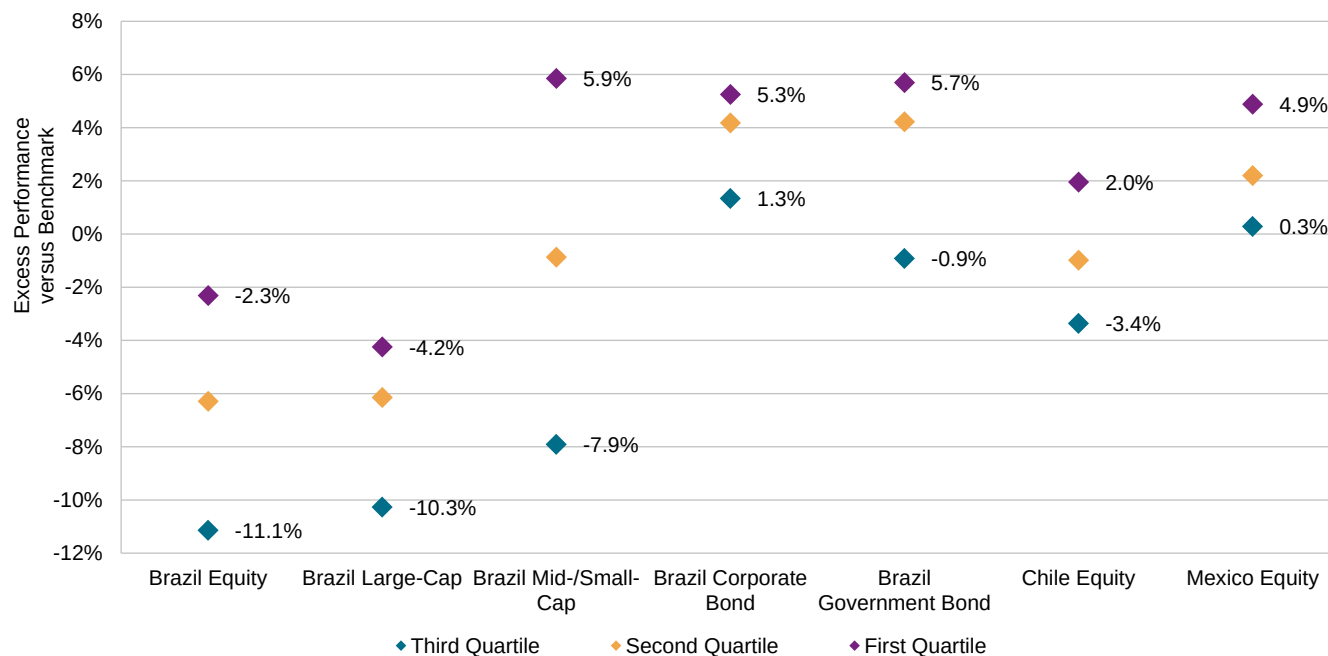
Exhibit 6: Trailing 12-Month Constituent Dispersion



Source: S&P Dow Jones Indices LLC. Data as of Dec. 31, 2024. Index performance based on total return in local country currency. Past performance is no guarantee of future results. Chart is provided for illustrative purposes.

The differences in excess returns between fund quartiles often underscore the challenge asset owners face in manager selection. In some categories such as Brazil Mid-/Small-Cap Equity and Chile Equity, bottom-quartile funds underperformed their respective benchmarks to a greater degree than top-quartile funds outperformed (see Report 5). Consequently, investors selecting funds from these categories faced more severe underperformance penalties from picking bottom-quartile funds than the outperformance benefits of picking those that finished in the top quartile. In other cases, such as Brazil Equity and Brazil Large-Cap Equity, many funds in the top-quartile were still underperformers. In contrast, fund selectors faced fewer challenges in the Brazil Corporate Bond, Brazil Government Bond and Mexico equity categories, where even a significant number of funds ranked in the bottom half still beat the benchmarks in 2024, as illustrated in Exhibit 7.

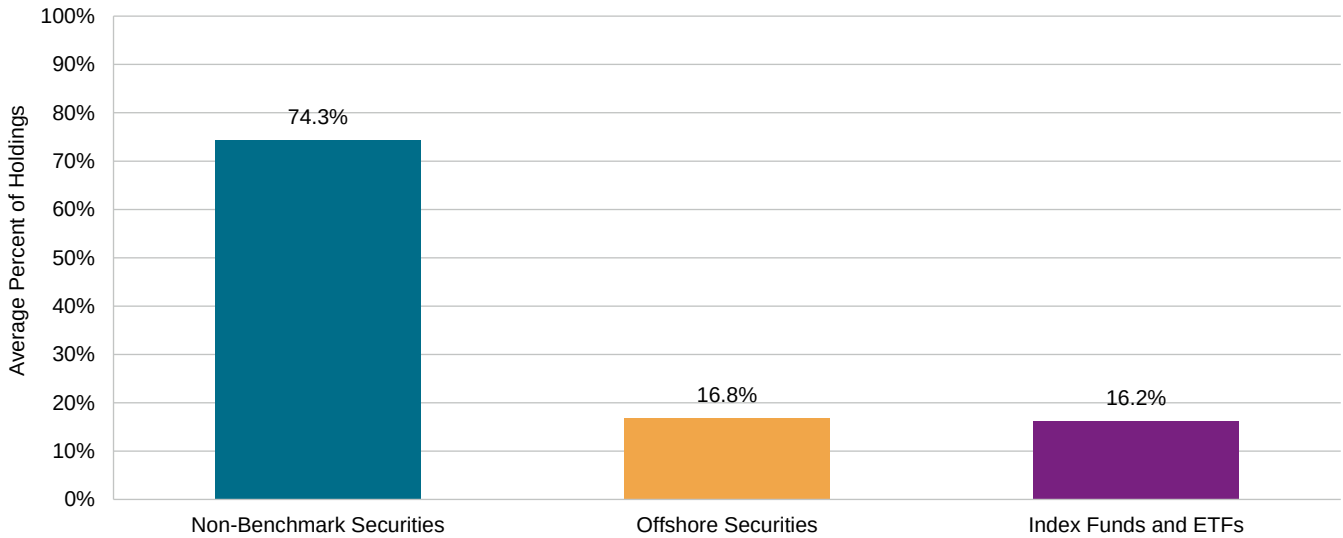
Exhibit 7: Excess Performance versus Category Benchmark by Active Fund Quartile



Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Returns shown are annualized for periods greater than one year. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Chart is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Revisiting the Mexico Equity category, where only 18.6% of funds underperformed in 2024, one might wonder how such a result was achieved. Looking under the hood of the best-performing funds, we find that significant exposure to non-benchmark securities explained the majority of outperformance. As shown in Exhibit 8, among top-quartile Mexico Equity funds, the **average allocation to securities outside of the S&P/BMV IRT benchmark was 74.3%**. Within this category of non-benchmark holdings, offshore (non-Mexico domiciled) securities consisting almost entirely of U.S. and European-domiciled index funds and ETFs also played a major role in generating outperformance. In fact, **top-quartile Mexico Equity funds held an average of 16.4% weight in foreign index funds and ETFs**. While this finding may be surprising to some, others who more regularly follow the evolution of the index and active landscape may see it as confirmation of a longstanding trend; index-linked products such as ETFs are not separate from active management but rather are used as important building blocks within active portfolios worldwide.

Exhibit 8: Non-Benchmark Holdings in Top-Quartile Mexico Equity Funds



Source: S&P Dow Jones Indices LLC. Data as of Dec. 31, 2024. Index performance based on total return in local country currency. Past performance is no guarantee of future results. Chart is provided for illustrative purposes.

A Unique Scorecard for the Active versus Passive Debate

There is nothing novel about the index versus active debate. It has been a contentious subject for decades, and there are a few strong believers on both sides, with the vast majority of market participants falling somewhere in between. Since its first publication in 2002, the SPIVA Scorecard has served as the de facto scorekeeper. When headline numbers have deviated from their beliefs, we have heard passionate arguments from both camps.

Beyond the SPIVA Scorecard's widely cited headline numbers is a rich data set that addresses issues—often far more fascinating though far less discussed—about measurement techniques, universe composition and fund survivorship. These data sets are rooted in the following fundamental principles of the SPIVA Scorecard, with which regular readers will be familiar.

- **Survivorship Bias Correction:** Many funds might be liquidated or merged during a period of study. However, for someone making an investment decision at the beginning of the period, these funds are part of the opportunity set. Unlike other commonly available comparison reports, SPIVA Scorecards account for the entire opportunity set—not just the survivors—thereby eliminating survivorship bias.
- **Apples-to-Apples Comparison:** Fund returns are often compared with a popular benchmark regardless of their investment category. The SPIVA Latin America Scorecard makes an appropriate comparison by measuring a fund's returns against the returns of a benchmark that reflects the fund's investment category.
- **Asset-Weighted Returns:** Average returns for a fund group are often calculated using only equal weighting, which means the returns of a BRL, CLP or MXN 10 billion fund affect the average in the same manner as the returns of a BRL, CLP or MXN 10 million fund. An accurate representation of how market participants fared in a particular period can be ascertained by calculating weighted average returns where each fund's return is weighted by net assets. SPIVA Scorecards show both equal- and asset-weighted averages.
- **Data Cleaning:** SPIVA Scorecards avoid double-counting multiple share classes in all count-based calculations by using only the share class with greater assets. Index, leveraged and inverse funds, along with other index-linked products, are excluded because this is meant to be a scorecard for active managers.

Reports

Report 1a: Percentage of Funds Underperforming Their Benchmarks (Based on Absolute Return)

Fund Category	Comparison Index	1-Year (%)	3-Year (%)	5-Year (%)	10-Year (%)
Brazil Equity Funds	S&P Brazil BMI	83.10	86.85	87.12	93.09
Brazil Large-Cap Funds	S&P Brazil LargeCap	84.71	88.16	87.70	79.07
Brazil Mid-/Small-Cap Funds	S&P Brazil MidSmallCap	58.04	62.28	65.75	85.90
Brazil Corporate Bond Funds	Anbima Debentures Index (IDA)	28.66	42.99	52.88	92.96
Brazil Government Bond Funds	Anbima Market Index (IMA)	30.69	50.28	55.18	94.27
Chile Equity Funds	S&P Chile BMI	65.12	59.52	69.57	95.45
Mexico Equity Funds	S&P/BMV IRT	18.60	46.51	62.79	82.93
Global Equity (BRL) Funds	S&P World Index (BRL)	95.45	91.67	94.87	100.00
Global Equity (CLP) Funds	S&P World Index (CLP)	100.00	100.00	100.00	100.00
Global Equity (MXN) Funds	S&P World Index (MXN)	88.89	88.00	97.56	100.00
U.S. Equity (BRL) Funds	S&P 500 (BRL)	80.00	68.42	91.30	92.86
U.S. Equity (CLP) Funds	S&P 500 (CLP)	86.67	100.00	100.00	100.00
U.S. Equity (MXN) Funds	S&P 500 (MXN)	82.61	100.00	85.71	86.67

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Table is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Report 1b: Percentage of Funds Underperforming Their Benchmarks (Based on Risk-Adjusted Return)

Fund Category	Comparison Index	3-Year (%)	5-Year (%)	10-Year (%)
Brazil Equity Funds	S&P Brazil BMI	85.12	87.12	92.82
Brazil Large-Cap Funds	S&P Brazil LargeCap	89.47	87.70	76.74
Brazil Mid-/Small-Cap Funds	S&P Brazil MidSmallCap	63.16	68.49	87.18
Brazil Corporate Bond Funds	Anbima Debentures Index (IDA)	42.99	50.96	81.69
Brazil Government Bond Funds	Anbima Market Index (IMA)	49.72	50.50	61.45
Chile Equity Funds	S&P Chile BMI	52.38	60.87	95.45
Mexico Equity Funds	S&P/BMV IRT	11.63	41.86	65.12
Global Equity (BRL) Funds	S&P World Index (BRL)	90.00	97.44	100.00
Global Equity (CLP) Funds	S&P World Index (CLP)	100.00	100.00	100.00
Global Equity (MXN) Funds	S&P World Index (MXN)	88.00	92.68	100.00
U.S. Equity (BRL) Funds	S&P 500 (BRL)	73.68	100.00	100.00
U.S. Equity (CLP) Funds	S&P 500 (CLP)	100.00	100.00	100.00
U.S. Equity (MXN) Funds	S&P 500 (MXN)	100.00	90.48	100.00

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Table is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Report 2: Survivorship of Funds

Fund Category	Number of Funds at Start	Survivorship (%)
1-Year		
Brazil Equity Funds	290	92.76
Brazil Large-Cap Funds	157	91.08
Brazil Mid-/Small-Cap Funds	143	91.61
Brazil Corporate Bond Funds	157	93.63
Brazil Government Bond Funds	554	96.75
Chile Equity Funds	43	93.02
Mexico Equity Funds	43	100.00
Global Equity (BRL) Funds	66	93.94
Global Equity (CLP) Funds	17	82.35
Global Equity (MXN) Funds	52	100.00
U.S. Equity (BRL) Funds	35	91.43
U.S. Equity (CLP) Funds	15	93.33
U.S. Equity (MXN) Funds	22	100.00
3-Year		
Brazil Equity Funds	289	77.16
Brazil Large-Cap Funds	152	76.97
Brazil Mid-/Small-Cap Funds	114	78.07
Brazil Corporate Bond Funds	107	81.31
Brazil Government Bond Funds	358	87.15
Chile Equity Funds	42	78.57
Mexico Equity Funds	43	100.00
Global Equity (BRL) Funds	60	86.67
Global Equity (CLP) Funds	15	86.67
Global Equity (MXN) Funds	48	97.92
U.S. Equity (BRL) Funds	38	81.58
U.S. Equity (CLP) Funds	14	71.43
U.S. Equity (MXN) Funds	21	95.24

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Past performance is no guarantee of future results. Table is provided for illustrative purposes.

Report 2: Survivorship of Funds (cont.)

Fund Category	Number of Funds at Start	Survivorship (%)
5-Year		
Brazil Equity Funds	233	77.25
Brazil Large-Cap Funds	122	77.87
Brazil Mid-/Small-Cap Funds	73	80.82
Brazil Corporate Bond Funds	104	63.46
Brazil Government Bond Funds	299	80.27
Chile Equity Funds	46	60.87
Mexico Equity Funds	43	95.35
Global Equity (BRL) Funds	39	84.62
Global Equity (CLP) Funds	12	66.67
Global Equity (MXN) Funds	40	95.00
U.S. Equity (BRL) Funds	23	78.26
U.S. Equity (CLP) Funds	15	60.00
U.S. Equity (MXN) Funds	21	95.24
10-Year		
Brazil Equity Funds	362	35.64
Brazil Large-Cap Funds	86	63.95
Brazil Mid-/Small-Cap Funds	78	42.31
Brazil Corporate Bond Funds	142	19.72
Brazil Government Bond Funds	262	63.74
Chile Equity Funds	44	29.55
Mexico Equity Funds	41	78.05
Global Equity (BRL) Funds	8	87.50
Global Equity (CLP) Funds	12	50.00
Global Equity (MXN) Funds	26	88.46
U.S. Equity (BRL) Funds	14	85.71
U.S. Equity (CLP) Funds	17	35.29
U.S. Equity (MXN) Funds	15	93.33

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Past performance is no guarantee of future results. Table is provided for illustrative purposes.

Report 3: Average Fund Performance (Equal-Weighted)

Index/Fund Category	1-Year (%)	3-Year (%)	5-Year (%)	10-Year (%)
S&P Brazil BMI	-7.97	4.88	1.01	9.64
Brazil Equity Funds	-13.26	0.56	-2.51	6.46
S&P Brazil LargeCap	-4.84	8.09	2.42	9.28
Brazil Large-Cap Funds	-7.90	2.41	-0.86	7.75
S&P Brazil MidSmallCap	-15.41	-2.23	-2.42	10.17
Brazil Mid-/Small-Cap Funds	-17.30	-2.82	-1.05	8.35
Anbima Debentures Index (IDA)	8.38	10.39	8.65	10.19
Brazil Corporate Bond Funds	9.33	11.13	9.22	8.41
Anbima Market Index (IMA)	5.10	9.78	7.07	10.05
Brazil Government Bond Funds	6.97	9.90	6.59	8.39
S&P Chile BMI	7.91	15.37	7.38	5.81
Chile Equity Funds	7.54	15.77	7.53	5.00
S&P/BMV IRT	-10.70	1.07	5.83	4.14
Mexico Equity Funds	-6.73	2.25	3.98	2.56
S&P World Index (BRL)	51.92	10.57	21.62	20.18
Global Equity (BRL) Funds	32.04	4.82	13.67	14.65
S&P World Index (CLP)	36.04	12.47	18.04	16.06
Global Equity (CLP) Funds	26.05	5.34	10.54	9.40
S&P World Index (MXN)	46.67	7.38	13.79	14.33
Global Equity (MXN) Funds	29.89	2.41	6.55	7.09
S&P 500 (BRL)	59.00	12.77	24.79	23.05
U.S. Equity (BRL) Funds	41.95	8.38	17.60	17.54
S&P 500 (CLP)	42.38	14.70	21.11	18.83
U.S. Equity (CLP) Funds	35.70	9.74	15.99	13.21
S&P 500 (MXN)	53.51	9.60	16.79	17.08
U.S. Equity (MXN) Funds	44.14	5.08	12.29	12.65

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Table is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Report 4: Average Fund Performance (Asset-Weighted)

Index/Fund Category	1-Year (%)	3-Year (%)	5-Year (%)	10-Year (%)
S&P Brazil BMI	-7.97	4.88	1.01	9.64
Brazil Equity Funds	-14.92	-0.15	-3.57	6.62
S&P Brazil LargeCap	-4.84	8.09	2.42	9.28
Brazil Large-Cap Funds	-10.92	1.81	-1.94	7.65
S&P Brazil MidSmallCap	-15.41	-2.23	-2.42	10.17
Brazil Mid-/Small-Cap Funds	-15.22	-1.91	-3.11	7.28
Anbima Debentures Index (IDA)	8.38	10.39	8.65	10.19
Brazil Corporate Bond Funds	11.75	12.19	9.26	9.36
Anbima Market Index (IMA)	5.10	9.78	7.07	10.05
Brazil Government Bond Funds	9.23	11.13	7.76	8.83
S&P Chile BMI	7.91	15.37	7.38	5.81
Chile Equity Funds	7.17	16.43	8.03	5.72
S&P/BMV IRT	-10.70	1.07	5.83	4.14
Mexico Equity Funds	-2.41	3.90	4.03	2.53
S&P World Index (BRL)	51.92	10.57	21.62	20.18
Global Equity (BRL) Funds	36.89	7.00	15.74	15.41
S&P World Index (CLP)	36.04	12.47	18.04	16.06
Global Equity (CLP) Funds	27.49	6.26	10.75	9.35
S&P World Index (MXN)	46.67	7.38	13.79	14.33
Global Equity (MXN) Funds	33.53	3.57	9.06	9.26
S&P 500 (BRL)	59.00	12.77	24.79	23.05
U.S. Equity (BRL) Funds	40.32	11.67	17.71	17.20
S&P 500 (CLP)	42.38	14.70	21.11	18.83
U.S. Equity (CLP) Funds	36.40	8.83	15.57	12.94
S&P 500 (MXN)	53.51	9.60	16.79	17.08
U.S. Equity (MXN) Funds	50.86	7.61	15.28	14.51

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Table is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Report 5: Quartile Breakpoints of Fund Performance

Fund Category	Third Quartile	Second Quartile	First Quartile
1-Year			
Brazil Equity Funds	-19.11	-14.26	-10.28
Brazil Large-Cap Funds	-15.12	-10.99	-9.09
Brazil Mid-/Small-Cap Funds	-23.32	-16.28	-9.56
Brazil Corporate Bond Funds	9.71	12.56	13.63
Brazil Government Bond Funds	4.18	9.32	10.79
Chile Equity Funds	4.55	6.93	9.87
Mexico Equity Funds	-10.41	-8.50	-5.82
Global Equity (BRL) Funds	25.61	33.57	43.43
Global Equity (CLP) Funds	22.74	24.97	30.60
Global Equity (MXN) Funds	27.10	35.42	40.01
U.S. Equity (BRL) Funds	28.27	44.99	57.83
U.S. Equity (CLP) Funds	31.15	34.36	38.32
U.S. Equity (MXN) Funds	40.28	47.51	52.27
3-Year			
Brazil Equity Funds	-2.63	0.06	3.46
Brazil Large-Cap Funds	0.74	4.24	6.19
Brazil Mid-/Small-Cap Funds	-8.39	-2.47	1.79
Brazil Corporate Bond Funds	10.23	12.90	13.52
Brazil Government Bond Funds	7.68	10.68	11.92
Chile Equity Funds	11.57	15.76	17.43
Mexico Equity Funds	-0.19	1.63	4.01
Global Equity (BRL) Funds	3.45	5.51	7.52
Global Equity (CLP) Funds	2.52	4.62	6.56
Global Equity (MXN) Funds	0.61	2.43	4.55
U.S. Equity (BRL) Funds	7.38	10.79	14.26
U.S. Equity (CLP) Funds	7.21	8.21	8.54
U.S. Equity (MXN) Funds	2.38	6.84	7.27

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Returns shown are annualized for periods greater than one year. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Table is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Report 5: Quartile Breakpoints of Fund Performance (cont.)

Fund Category	Third Quartile	Second Quartile	First Quartile
5-Year			
Brazil Equity Funds	-5.58	-3.06	-0.50
Brazil Large-Cap Funds	-2.34	0.22	1.29
Brazil Mid-/Small-Cap Funds	-8.55	-4.94	1.30
Brazil Corporate Bond Funds	8.76	9.41	10.20
Brazil Government Bond Funds	5.04	7.39	8.28
Chile Equity Funds	6.14	7.38	10.03
Mexico Equity Funds	1.29	4.68	6.24
Global Equity (BRL) Funds	11.55	13.43	17.90
Global Equity (CLP) Funds	8.44	10.61	12.22
Global Equity (MXN) Funds	4.40	6.96	9.92
U.S. Equity (BRL) Funds	17.37	20.36	22.58
U.S. Equity (CLP) Funds	13.59	14.63	15.22
U.S. Equity (MXN) Funds	7.69	12.52	14.68
10-Year			
Brazil Equity Funds	5.27	7.17	9.23
Brazil Large-Cap Funds	6.11	8.00	9.55
Brazil Mid-/Small-Cap Funds	3.45	6.44	10.67
Brazil Corporate Bond Funds	9.63	9.94	10.55
Brazil Government Bond Funds	8.28	9.00	9.47
Chile Equity Funds	3.21	3.80	4.83
Mexico Equity Funds	0.39	1.85	3.93
Global Equity (BRL) Funds	16.03	17.19	19.40
Global Equity (CLP) Funds	7.84	9.36	10.20
Global Equity (MXN) Funds	3.68	7.71	9.34
U.S. Equity (BRL) Funds	17.55	19.67	20.98
U.S. Equity (CLP) Funds	11.40	11.81	12.14
U.S. Equity (MXN) Funds	9.23	12.88	14.50

Source: S&P Dow Jones Indices LLC, Morningstar. Data as of Dec. 31, 2024. Returns shown are annualized for periods greater than one year. Index performance based on total return in local country currency. Prior to inception dates, S&P World Index total returns were translated at prevailing exchange rates into BRL, CLP and MXN and S&P 500 total returns were translated at prevailing exchange rates into MXN through back-testing. All data prior to such date is back-tested hypothetical data. Past performance is no guarantee of future results. Table is provided for illustrative purposes and reflects hypothetical historical performance. Please see the Performance Disclosure at the end of this document for more information regarding the inherent limitations associated with back-tested performance.

Appendix A: SPIVA Styles and Morningstar Fund Classifications

Data are obtained from Morningstar for all managed funds for which month-end data are available during the performance period. The SPIVA Latin America Scorecard covers country-specific funds for Brazil, Chile and Mexico that are domiciled in the respective country markets and denominated in each country's local currency. The Morningstar classification system produces narrow, style-based classifications for funds.

Morningstar categories have been mapped to SPIVA peer groups as follows:

Exhibit 8: Fund Category Mapping

Morningstar Category	SPIVA Category
Brazil	
Brazil Fund Brazil All-Cap Equity	Brazil Equity Funds
Brazil Fund Brazil Large-Cap Equity	Brazil Large-Cap Funds
Brazil Fund Brazil Small-/Mid-Cap Equity	Brazil Mid-/Small-Cap Funds
Brazil Fund BRL Corporate Bond	Brazil Corporate Bond Funds
Brazil Fund BRL Government Bond	Brazil Government Bond Funds
Brazil Fund Global Equity	Global Equity (BRL) Funds
Brazil Fund US Equity	U.S. Equity (BRL) Funds
Chile	
Chile Fund Chile Equity	Chile Equity Funds
Chile Fund Global Equity	Global Equity (CLP) Funds
Chile Fund US Equity	U.S. Equity (CLP) Funds
Mexico	
Mexico Fund Mexico Equity	Mexico Equity Funds
Mexico Fund Global Equity	Global Equity (MXN) Funds
Mexico Fund US Equity	U.S. Equity (MXN) Funds

Source: S&P Dow Jones Indices LLC, Morningstar. Table is provided for illustrative purposes.

Appendix B: Glossary – Reports

Percentage of Funds Outperformed by the Index

We use funds with returns available for the entire period as the denominator. We determine the count of funds that have survived and beat the index and then report the index outperformance percentage.

Survivorship (%)

The survivorship metric represents the percentage of funds in existence at the beginning of the time period that are still active at the end of the time period.

Equal-Weighted Fund Performance

Equal-weighted returns for a particular style category are determined by calculating a simple average return of all active funds in that category in a particular month.

Asset-Weighted Fund Performance

Asset-weighted returns for a particular style category are determined by calculating a weighted average return of all funds in that category in a particular month, with each fund's return weighted by its total net assets. Asset-weighted returns are a better indicator of fund category performance because they reflect the returns of the total money invested in that particular style category with more accuracy.

Quartile Breakpoints

The p^{th} percentile for a set of data is the value that is greater than or equal to $p\%$ of the data but is less than or equal to $(100-p)\%$ of the data. In other words, it is a value that divides the data into two parts: the lower $p\%$ of the values and the upper $(100-p)\%$ of the values. The first quartile border is the 75th percentile, which is the value separating the elements of a population into the lower 75% and the upper 25%. The second quartile border is the 50th percentile, and the third quartile border is the 25th percentile. For fund category quartiles in a particular time period, the data used are the return of the largest share class of the fund net of fees, excluding loads.

Survivorship Bias

Some funds liquidate or merge during a period of study. This usually occurs due to continued poor performance by the fund. Therefore, if index returns were compared to fund returns using only surviving funds, the comparison would be biased in favor of the fund category. The

SPIVA reports remove this bias in three ways. The first method to remove the bias is to use the entire investment opportunity set, made up of all funds in that particular category at the outset of the period, as the denominator for outperformance calculations. The second is to show explicitly the survivorship rate in each category. The final way is to construct a peer average return series for each category based on all available funds at the outset of the period.

Fees

The fund returns used are net of fees, excluding loads.

Indices

A benchmark index provides an investment reference against which fund performance can be measured.

S&P Brazil BMI

The S&P Brazil BMI, a subset of the [S&P Global BMI](#), is designed to represent the Brazilian stock market.

S&P Brazil LargeCap

The S&P Brazil LargeCap, a subset of the S&P Global BMI, is designed to represent large-cap stocks in the Brazilian market.

S&P Brazil MidSmallCap

The S&P Brazil MidSmallCap, a subset of the S&P Global BMI, is designed to represent mid- and small-cap stocks in the Brazilian market.

S&P Chile BMI

The S&P Chile BMI, a subset of the S&P Global BMI, is designed to represent the Chilean stock market.

S&P/BMV IRT

The S&P/BMV IRT, the total return version of [S&P/BMV IPC](#), measures the performance of the largest and most liquid stocks listed on the Bolsa Mexicana de Valores.

S&P 500

Widely regarded as the best single gauge of the U.S. equities market, this market capitalization-weighted index includes a representative sample of 500 leading companies in the foremost industries of the U.S. economy and provides over 80% coverage of U.S. equities.

S&P World Index

The S&P World Index tracks the performance of large- and mid-cap stocks from 24 developed markets of the S&P Developed BMI. With data extending over several economic cycles, the index provides a consistent universe for historical market analysis and back-testing investing strategies.

Anbima Debentures Index (IDA)

The IDA represents a portfolio of debentures at market prices and serves as a benchmark for the segment. The index consists of all debentures priced by the Association.

Anbima Market Index (IMA)

The IMA represents a portfolio of government securities at market prices, with an approximate range of 97% of the market segment.

Performance Disclosure/Back-Tested Data

The S&P World Index in BRL was launched on September 30, 2024. The S&P 500 in CLP was launched on August 29, 2024. The S&P World Index in CLP was launched on September 30, 2024. The S&P World Index in MXN was launched on September 30, 2024. All information presented prior to an index's Launch Date is hypothetical (back-tested), not actual performance. The back-test calculations are based on the same methodology that was in effect on the index Launch Date. However, when creating back-tested history for periods of market anomalies or other periods that do not reflect the general current market environment, index methodology rules may be relaxed to capture a large enough universe of securities to simulate the target market the index is designed to measure or strategy the index is designed to capture. For example, market capitalization and liquidity thresholds may be reduced. Complete index methodology details are available at www.spglobal.com/spdji. Past performance of the Index is not an indication of future results. Back-tested performance reflects application of an index methodology and selection of index constituents with the benefit of hindsight and knowledge of factors that may have positively affected its performance, cannot account for all financial risk that may affect results and may be considered to reflect survivor/look ahead bias. Actual returns may differ significantly from, and be lower than, back-tested returns. Past performance is not an indication or guarantee of future results. Please refer to the methodology for the Index for more details about the index, including the manner in which it is rebalanced, the timing of such rebalancing, criteria for additions and deletions, as well as all index calculations. Back-tested performance is for use with institutions only; not for use with retail investors.

S&P Dow Jones Indices defines various dates to assist our clients in providing transparency. The First Value Date is the first day for which there is a calculated value (either live or back-tested) for a given index. The Base Date is the date at which the index is set to a fixed value for calculation purposes. The Launch Date designates the date when the values of an index are first considered live: index values provided for any date or time period prior to the index's Launch Date are considered back-tested. S&P Dow Jones Indices defines the Launch Date as the date by which the values of an index are known to have been released to the public, for example via the company's public website or its data feed to external parties. For Dow Jones-branded indices introduced prior to May 31, 2013, the Launch Date (which prior to May 31, 2013, was termed "Date of introduction") is set at a date upon which no further changes were permitted to be made to the index methodology, but that may have been prior to the Index's public release date.

Typically, when S&P DJI creates back-tested index data, S&P DJI uses actual historical constituent-level data (e.g., historical price, market capitalization, and corporate action data) in its calculations. As ESG investing is still in early stages of development, certain datapoints used to calculate S&P DJI's ESG indices may not be available for the entire desired period of back-tested history. The same data availability issue could be true for other indices as well. In cases when actual data is not available for all relevant historical periods, S&P DJI may employ a process of using "Backward Data Assumption" (or pulling back) of ESG data for the calculation of back-tested historical performance.

"Backward Data Assumption" is a process that applies the earliest actual live data point available for an index constituent company to all prior historical instances in the index performance. For example, Backward Data Assumption inherently assumes that companies currently not involved in a specific business activity (also known as "product involvement") were never involved historically and similarly also assumes that companies currently involved in a specific business activity were involved historically too. The Backward Data Assumption allows the hypothetical back-test to be extended over more historical years than would be feasible using only actual data. For more information on "Backward Data Assumption" please refer to the [FAQ](#). The methodology and factsheets of any index that employs backward assumption in the back-tested history will explicitly state so. The methodology will include an Appendix with a table setting forth the specific data points and relevant time period for which backward projected data was used.

Index returns shown do not represent the results of actual trading of investable assets/securities. S&P Dow Jones Indices maintains the index and calculates the index levels and performance shown or discussed but does not manage actual assets. Index returns do not reflect payment of any sales charges or fees an investor may pay to purchase the securities underlying the Index or investment funds that are intended to track the performance of the Index. The imposition of these fees and charges would cause actual and back-tested performance of the securities/fund to be lower than the Index performance shown. As a simple example, if an index returned 10% on a US \$100,000 investment for a 12-month period (or US \$10,000) and an actual asset-based fee of 1.5% was imposed at the end of the period on the investment plus accrued interest (or US \$1,650), the net return would be 8.35% (or US \$8,350) for the year. Over a three-year period, an annual 1.5% fee taken at year end with an assumed 10% return per year would result in a cumulative gross return of 33.10%, a total fee of US \$5,375, and a cumulative net return of 27.2% (or US \$27,200).

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